At the passage of this act, the Washington, Baltimore and Annapolis Electric Railroad Company was in the hands of a receiver, appointed in January, 1931 by the Federal District Court. For ten years preceding the receivership the gross receipts from its business had progressively declined. In 1930 the total revenues derived from the operation of its line were $1,347,967.03, and the operating expenses $1,191,897.32. These expenses were exclusive of taxes and fixed charges, such as interest on its debts. There was a funded debt of more than nine million dollars and an unsecured debt of nearly a million. In 1930, 3,247,534 passengers had traveled on the road, which supplied the only rail service to Annapolis, the capital of the state. Large public interests were involved in keeping the service going.

The Mayor and City Council of Baltimore, and the Mayor, Counselor and Aldermen of the City of Annapolis, municipal corporations, challenged the validity of the exemption, and filed proofs of claim with the receiver for taxes overdue. The claim of the City of Baltimore was for real property taxes on the terminals and rights of way, for personal property taxes on the cars, and for franchise taxes or charges under a municipal ordinance. The claim of the City of Annapolis was for taxes on real property and for local taxes or charges owing for the franchise. The District Court upheld the validity of the statute, and disallowed the claims. Upon appeal to the Circuit Court of Appeals for the Fourth Circuit the orders were reversed upon the ground that the statute was invalid under the Fourteenth Amendment of the Federal Constitution and under several provisions of the Constitution of the State. 61 F. (2d) 374. Writs of certiorari were granted by this court. The writ in No. 513 brings up the claim filed with the receiver by the City of Baltimore; the writ in No. 514 brings up the claim of the City of Annapolis.

1. There is error in the holding of the Circuit Court of Appeals that the statute of Maryland creating this exemption is a denial to the respondents of the equal protection of the laws in violation of the Fourteenth Amendment of the Constitution of the United States.

A municipal corporation, created by a state for the better ordering of government, has no privileges or immunities under the federal constitution which it may invoke in opposition to the will of its creator. *Trenton* v. *New Jersey,* 262 U.S. 182; *Newark* v. *New Jersey,* 262 U.S. 192; *Worcester* v. *Worcester Consolidated Street Ry. Co.,* 196 U.S. 539; *Pawhuska* v. *Pawhuska Oil Co.,* 250 U.S. 394; *Risty* v. *Chicago, R. I. & P. Ry. Co.,* 270 U.S. 378, 390; *Railroad Commission* v. *Los Angeles Ry. Corp.,* 280 U.S. 145, 156.

2. There is error in the holding of the Circuit Court of Appeals that the statute is invalid under the Constitution of Maryland.

Several provisions of that constitution are invoked by the respondents. They will be considered in succession.

(a) The statute is not repugnant to Article 15 of the Maryland Declaration of Rights wherein it is provided " that the levying of taxes by the poll is grievous and oppressive and ought to be prohibited; that paupers ought not to be assessed for the support of the Government; that the General Assembly shall, by uniform rules, provide for separate assessment of land and classification and sub-classifications of improvements on land and personal property, as it may deem proper; and all taxes thereafter provided to be levied by the State for the support of the general State Government, and by the counties and by the City of Baltimore for their respective purposes, shall be uniform as to land within the taxing district, and uniform within the class or sub-class of improvements on land and personal property which the respecting taxing powers

may have directed to be subjected to the tax levy; yet fines, duties or taxes may properly and justly be imposed, or laid with a political view for the good government and benefit of the community."

The courts of Maryland hold that the rule of uniformity established by these provisions does not forbid the creation of reasonable exemptions in furtherance of the public good. *Baltimore* v. *B. & O. R. Co.,* 6 Gill 288; *State* v. *B. & O. R. Co.,* 48 Md. 49; *State* v. *B. & O. R. Co.,* 127 Md. 434; 96 Atl. 636; *State* v. *N. C. R. Co.,* 44 Md. 131; *State* v. *P. W. & B. R. Co.,* 45 Md. 361; *Daly* v. *Morgan,* 69 Md. 460, 467; 16 Atl. 287; *B. C. & A. Ry. Co.* v. *Ocean City,* 89 Md. 89; 42 Atl. 922; *B. C. & A. Ry. Co.* v. *Wicomico Co.,* 93 Md. 113; 48 Atl. 853; *Havre de Grace* v. *Bridge Co.,* 145 Md. 491; 125 Atl. 704; *The Tax Cases,* 12 G. & J. 117; cf. *Gordon* v. *Appeal Tax Court,* 3 How. (U.S.) 133; *Picard* v. *East Tennessee, V. & G. R. Co.,* 130 U.S. 637, 641. It does not even prohibit an exemption in favor of an individual as distinguished from one for the benefit of the members of a class. All that it exacts in respect of the narrower exemption is the presence of a relation, fairly discernible, between the good of the individual and the good of the community. There must be something more than an arbitrary preference of one among many. *Baltimore* v. *Starr Church,* 106 Md. 281, 287, 288; 67 Atl. 261.

Furtherance of the public good is written over the face of this statute from beginning to end as its animating motive. "It is of the utmost importance for the welfare of the State and particularly the communities served by said railroad that the operation of said railroad be continued." "It is the judgment of the General Assembly" that "to encourage the continued operation" of the road by the grant of an exemption will be to give heed to the promptings of "a wise and sound public policy." The